

year's result in order to gain an idea of the "indicated earning power" based on the assumed continuance of the business conditions existing then. Approved accounting practice recommends that profit on sales of capital assets be shown only as a credit to the surplus account. In numerous instances, however, such profits are reported by the company as part of its current net income, creating a distorted picture of the earnings for the period.

*Examples:* A glaring example of this practice is presented by the report of the Manhattan Electrical Supply Company for 1926. This showed earnings of \$882,000, or \$10.25 per share, which was regarded as a very favorable exhibit. But a subsequent application to list additional shares on the New York Stock Exchange revealed that out of this \$882,000 reported as earned, no less than \$586,700 had been realized through the sale of the company's battery business. Hence the earnings from ordinary operations were only \$295,300, or about \$3.40 per share. The inclusion of this special profit in income was particularly objectionable because in the very same year the company had charged to surplus extraordinary losses amounting to \$544,000. Obviously the special losses belonged to the same category as the special profits, and the two items should have been grouped together. The effect of including the one in income and charging the other to surplus was misleading in the highest degree. Still more discreditable was the failure to make any clear reference to the profit from the battery sale either in the income account itself or in the extended remarks that accompanied it in the annual report.<sup>4</sup>

During 1931 the United States Steel Corporation reported "special income" of some \$19,300,000, the greater part of which was due to "profit on sale of fixed property"—understood to be certain public-utility holdings in Gary, Indiana. This item was included in the year's earnings and resulted in a final "net income" of \$13,000,000. But since this credit was definitely of a nonrecurring nature, the analyst would be compelled to eliminate it from his consideration of the 1931 operating results, which would accordingly register a *loss* of \$6,300,000 before preferred dividends. United States Steel's accounting method in 1931 is at variance with its previous

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<sup>4</sup> The president's remarks contained only the following in respect to this transaction: "After several years of unprofitable experience in the battery business the directors arranged a sale of same on satisfactory terms." In 1930 a scandal developed by reason of the president's manipulation of this company's shares on the New York Stock Exchange.